12. Income Taxes

Pretax income (loss) for the fiscal years ended March 28, 2020, March 30, 2019, and March 31, 2018 was attributable to the following tax jurisdictions:

(Dollars in thousands)	Year Ended March 28, 2020	March 30, 2019	March 31, 2018
Domestic	$ 76,224	$ (50,891)	$ 32,470
Foreign	8,830	9,588	10,646
Income (loss) before income taxes	$ 85,054	$ (41,303)	$ 43,116

The income tax provision by jurisdiction for the fiscal years ended March 28, 2020, March 30, 2019, and March 31, 2018 was as follows:

(Dollars in thousands)	Year Ended March 28, 2020	March 30, 2019	March 31, 2018
Current:			
U.S. federal	$ 9,360	$ 9,353	$ 10,033
Foreign	1,938	1,452	2,269
State	3,800	3,053	2,100
Total current	$ 15,098	$ 13,858	$ 14,402
Deferred			
U.S. federal	$ 5,660	$ 1,854	$ 9,694
Foreign	5,214	987	3,640
State	922	206	(420)
Total deferred	$ 11,796	$ 3,047	$ 12,914
Total income tax expense	$ 26,894	$ 16,905	$ 27,316

Income tax expense (benefit) differs from the amount of income tax determined by applying the applicable U.S. statutory federal income tax rate to income before income taxes as a result of the following differences:

(Dollars in thousands)	Year Ended March 28, 2020	March 30, 2019	March 31, 2018
Tax expense (benefit) at U.S federal statutory rate	$ 17,861	$ (8,674)	$ 13,599
Increase (decrease) in rate resulting from:			
State taxes, net of U.S. federal benefit	$ 4,491	$ 2,412	$ 1,083
Change in deferred tax valuation allowance	3,652	(986)	(8,632)
Non-deductible compensation due to Section 162(m)	1,007	2,760	—
Other permanent difference	844	531	617
Deferred tax rate changes	538	928	9,115
Foreign tax rate differences	502	579	(413)
Global intangible low-taxed income ("GILTI")	339	524	—
Recognition of foreign investment basis difference	25	247	12,199
Non-deductible equity-based compensation	—	17,545	203
Domestic production activities deduction	—	—	(970)
Transaction costs related to the Exchange	—	2,051	—
Uncertain tax positions	(643)	(590)	23
U.S. tax credits	(1,005)	(445)	(75)
Other	(717)	23	567
Total income tax expense	$ 26,894	$ 16,905	$ 27,316

On December 22, 2017, the U.S. government enacted comprehensive tax legislation commonly referred to as the Tax Cuts and Jobs Act (the “Tax Act”). The Tax Act made several changes to the U.S. Internal Revenue Code of 1986, with the following changes being most impactful: (1) decreased the corporate income tax rate from 35% to 21%; (2) implemented a territorial tax system; (3) eliminated the Section 199 Domestic Production Activities Deduction; (4) expanded the scope of executive compensation that is subject to Section 162(m) deduction limitations and (5) allowed for immediate expensing of certain qualified property placed in service after September 27, 2017.

The Tax Act subjects a U.S. shareholder to current tax on GILTI earned by certain foreign subsidiaries. The FASB Staff Q&A, Topic 740 No. 5, *Accounting for Global Intangible Low-Taxed Income*, states that an entity can make an accounting election to either recognize deferred taxes for temporary differences expected to reverse as GILTI in future years or provide for the tax expense related to GILTI in the year the tax is incurred. The Company has elected to recognize the tax on GILTI as a period expense in the period the tax is incurred.

The U.S. income tax rate for fiscal 2020 and fiscal 2019 is 21%. The U.S. income tax rate for fiscal 2018 was a blended rate of 31.5%. This rate was calculated under the guidance of Internal Revenue Service Notice 2018-38 by prorating the total annual taxable income by the amount of days in the fiscal year that the enacted 35% rate was applicable (April 2, 2017 to December 31, 2017) and the amount of days in the fiscal year that the enacted 21% rate was applicable (January 1, 2018 to March 31, 2018).

Deferred tax assets and liabilities at March 28, 2020 and March 30, 2019 consisted of the following:

(Dollars in thousands)	March 28, 2020	March 30, 2019
ASSETS		
Intangible assets	$ 9,665	$ 11,110
U.S. federal net operating loss carryforwards	9,368	14,213
Warranty reserves	6,175	5,792
Employee compensation	5,665	6,326
Foreign net operating loss carryforwards	5,400	499
Self-insurance reserves	3,806	4,491
Lease assets	3,684	—
State net operating loss carryforwards	2,793	4,239
Outside basis difference in domestic partnership investment	2,229	2,133
U.S. tax credit carryforwards	2,030	2,131
Inventory reserves and impairments	1,656	1,660
Dealer volume discounts	1,216	1,409
Equity-based compensation	1,156	929
Capitalized transaction costs	456	534
Foreign capital loss carryforwards	168	186
Foreign currency translation adjustments	67	9
Foreign tax basis difference in investments	—	4,601
Other	1,130	648
Gross deferred tax assets	$ 56,664	$ 60,910
LIABILITIES		
Intangible assets	$ 10,711	$ 11,997
Property, plant, and equipment	8,411	7,265
Lease liabilities	3,684	—
Foreign tax basis difference in investments	3,264	3,422
Other	837	297
Gross deferred tax liabilities	$ 26,907	$ 22,981
Valuation allowance	(11,209)	(7,293)
Net deferred tax assets	$ 18,548	$ 30,636

Due to the ability to repatriate earnings from the foreign subsidiaries tax-free because of the Tax Act, the Company anticipates periodically repatriating the earnings of its Netherlands and Canadian subsidiaries. Prior to the enactment of the Tax Act, the Company's policy was that all undistributed earnings of its foreign subsidiaries were permanently reinvested except for its former U.K. subsidiaries. A deferred tax liability is recognized for income tax withholding which may be incurred upon the reversal of basis differences in investments in its foreign subsidiaries.

The Company periodically evaluates the realizability of its deferred tax assets based on whether it is "more likely than not" that some portion of the deferred tax assets will not be realized. Our evaluation considers available positive and negative evidence to estimate whether sufficient future taxable income will be generated to permit use of the existing deferred tax assets. Due to the Exchange on June 1, 2018, the Company has U.S. federal and state net operating loss ("NOL") carryforwards that were generated by the pre-Exchange Skyline entities. At March 28, 2020, the Company has provided a $1.4 million valuation allowance for certain state NOL carryforwards. At March 28, 2020, the Company established a valuation allowance of $4.2 million for certain Canadian deferred tax assets. The Company maintains a valuation allowance with respect to its deferred tax assets in the Netherlands for fiscal 2020, 2019, and 2018. The fiscal 2020 value of the deferred tax assets and related valuation allowance in the Netherlands was adjusted to reflect the Netherlands statutory tax rate decrease from 25.0% to 21.7% expected in 2021.

As of March 28, 2020, the Company has U.S. federal NOL carryforwards of $44.6 million, which expire in 2032 through 2035. The Company also has state NOL carryforwards in various jurisdictions which expire primarily in 2020 through 2040.

Unrecognized tax benefits represent the differences between tax positions taken or expected to be taken on a tax return and the benefits recognized for financial statement purposes. The Company's total unrecognized tax benefits were $0.6 million at March 30, 2019. There were no unrecognized tax benefits at March 28, 2020. The Company classifies interest and penalties on income tax uncertainties as a component of income tax expense. Accrued interest and penalties as of March 28, 2020 and March 30, 2019, were not significant. The following table provides the changes in unrecognized tax benefits at March 28, 2020 and March 30, 2019:

(Dollars in thousands)	March 28, 2020	March 30, 2019
Unrecognized tax benefits, beginning of period	$ 643	$ 1,246
Increase related to tax positions taken during a prior period	—	44
Reductions as a result of a lapse of the applicable statute of limitations	(643)	(647)
Unrecognized tax benefits, end of period	$ —	$ 643

The Company estimates no material changes to uncertain tax benefits in the next twelve months. The Company is no longer subject to foreign tax examinations by tax authorities for years prior to fiscal 2016. The Company's U.S. subsidiaries are subject to U.S. federal tax examinations for fiscal 2018 through fiscal 2020, and U.S. state tax examinations by tax authorities for fiscal 2017 through fiscal 2020. In October 2018, the Company received a notice of examination from the Internal Revenue Service for the Company's federal income tax return for the fiscal year ended April 1, 2017. This examination was closed in February 2020 with no audit adjustments.